My husband and I held a Canadian life insurance policy, Beneva Policy No. 0112358, originally issued by AXA in December 2004 and subsequently administered by SSQ/Beneva.

To clarify, this is a Canadian policy and not a foreign or cross-border policy.

We are seeking an independent actuarial review and, if possible, a historical reconstruction of the policy's Adjusted Cost Basis (ACB).

The policy involved multiple policy loans, loan repayments, prior taxable policy gains and surrender transactions in 2025 and 2026. Beneva ultimately concluded that the entire final surrender amount of $223,520.55 in 2026 is taxable.

During our inquiries, Beneva provided materially different ACB figures at different stages, including $62,599.93 and subsequently $240,351.91, before providing more detailed actuarial and transaction-level reconciliations.

Most recently, Beneva confirmed that a significant $170,000 policy-loan repayment in March 2024 was included in its calculation and increased the ACB from $2,936.86 immediately before the repayment to $115,885.35 immediately afterward.

We are not asking you to assume that Beneva's calculation is incorrect. Rather, we would like an independent actuarial specialist to determine whether Beneva's historical ACB methodology and final result can be independently verified under the applicable Canadian tax rules.

In particular, we would like to review:
the historical ACB calculation involving policy loans and repayments;
the treatment of prior taxable policy-loan gains;
the treatment of approximately $61,084.42 of policy-loan interest;
the effect of the 2025 surrender of $250,452.05 on the remaining ACB; and
whether the ACB immediately before the 2026 final surrender supports Beneva's conclusion that the entire $223,520.55 is taxable.

Before proceeding, could you please advise whether your firm performs this type of historical ACB reconstruction for a Canadian-issued life insurance policy, rather than relying on the insurer's reported ACB? If so, we would initially prefer a limited preliminary review. Could you also provide an approximate fee or initial budget for such a review before undertaking a full reconstruction?
I have attached our concise Independent ACB & Taxable Gain Review Package for your preliminary consideration.

Independent ACB & Taxable Gain Review Package

Beneva Policy No. 0112358 | Prepared for CPA / Canadian Life-Insurance Tax Specialist

Prepared for: M K and A J L | September 24, 2026

1. Purpose of Independent Review

This package is intended to permit an independent professional to reconstruct and verify the adjusted cost basis (ACB) and taxable policy gains for Beneva Policy No. 0112358. The policyholders are not asking the reviewer to assume that Beneva's calculation is incorrect. The objective is to independently test Beneva's methodology and transaction-level calculations under the Canadian Income Tax Act, with particular attention to subsection 148(9), policy loans and repayments, paragraph 60(s), loan interest, and the 2025 and 2026 surrender transactions.

2. Policy Background

The policy was issued December 6, 2004 as an AXA Horizon 20 Guaranteed Premium policy and was subsequently administered by SSQ/Beneva. The policy covered two insured lives, with $500,000 of coverage per insured. Beneva has stated that total premiums paid were $251,532.00 and cumulative NCPI was $72,264.51. Multiple policy loans and repayments occurred before the two surrender transactions.

3. Transaction Timeline

Date / period	Transaction / Beneva data	Tax / ACB significance
Dec. 2018	Policy loan $153,000; Beneva ACB $142,963.39; taxable gain $10,036.61	Prior taxable policy-loan gain
Jul. 2019	Policy loan $19,000; Beneva ACB $151,972.81; no taxable gain	Loan / ACB adjustment
Jan. 2021	Policy loan $115,000; Beneva ACB $162,408.46; no taxable gain	Loan / ACB adjustment
May 2021	Policy loan $65,000; Beneva ACB $51,600.66; taxable gain $13,399.34	Prior taxable policy-loan gain
Jul. 2023	Policy loan $140,000; ACB before loan $47,948.50; taxable gain about $92,051.52; detailed reconciliation shows ACB about $0.01 after loan	Material policy-loan disposition
Dec. 2023	Repayments $9,500 and $25,500; detailed table shows Net Previous Taxable Amount reducing from $92,051.51 to $57,051.51	Relevant to repayment / paragraph 60(s) analysis
Mar. 2024	Policy-loan repayment $170,000. Beneva now confirms ACB $2,936.86 immediately before and $115,885.35 immediately after	Net ACB increase $112,948.49; key reconstruction item
May 2024	Policy loan $140,000; Beneva ACB immediately before loan $116,933.40; taxable gain $23,066.60	Further taxable policy-loan gain
Jan. 2025	Surrender of coverage #1: $250,452.05. Beneva final actuarial table shows ACB $1,033.77 and amount used to reimburse loan $250,452.05	Critical to determining remaining ACB
Apr. 2026	Final surrender of coverage #2: $223,520.55; Beneva treats full amount as taxable	Ultimate amount requiring independent verification

Key reconciliation point

Beneva's September 24 reconciliation indicates that the March 2024 $170,000 repayment was included. ACB increased from $2,936.86 to $115,885.35, or $112,948.49. The same table shows a remaining Net Previous Taxable Amount of $57,051.51 immediately before the large repayment. The independent reviewer should verify the statutory treatment rather than assume either that the repayment was omitted or that Beneva's methodology is correct.

4. Questions for the Independent Reviewer

1. Reconstruct the policy ACB from inception through the April 2026 final surrender using the applicable version of the Income Tax Act and the policy's transaction history.

2. Verify Beneva's treatment of policy loans, including the July 2023 and May 2024 loans, under subsection 148(9).

3. Verify the March 2024 $170,000 repayment. Beneva reports ACB of $2,936.86 immediately before and $115,885.35 immediately after, a net increase of $112,948.49. Confirm whether this treatment is correct, including the interaction with prior taxable policy-loan gains and paragraph 60(s).

4. Determine whether deductions under paragraph 60(s) were available for policy-loan repayments in any relevant tax year and compare those deductions with the policyholder's actual T1 filings / Line 23200 claims.

5. Verify how the prior taxable gains of $10,036.61, $13,399.34, $92,051.52 and $23,066.60 should enter subsequent ACB calculations and whether Beneva's 'Net Previous Taxable Amount' treatment is correct.

6. Review Beneva's treatment of $61,084.42 of loan interest. Beneva states that total repayments of $693,084.42 less total loans of $632,000.00 represents interest paid, while also describing the interest as 'capitalized' for ACB purposes. Confirm the legal/tax treatment and request an interest schedule if needed.

7. Reconcile the January 2025 surrender of $250,452.05 and determine the correct ACB immediately before and immediately after that transaction.

8. Determine the correct ACB immediately before the April 2026 final surrender and independently determine whether all, part, or none of the $223,520.55 surrender proceeds constitute a taxable policy gain.

5. Documents to Provide / Obtain

1. Beneva policy contract / original illustration and any amendments or coverage schedules.

2. Complete premium history and Beneva's annual NCPI figures.

3. Complete policy-loan ledger: advances, repayments, outstanding balances, and dates.

4. Loan-interest statements or schedule showing interest charged, paid, capitalized or otherwise applied by year.

5. All T5 slips / taxable-gain notices issued by AXA, SSQ or Beneva for 2018-2026.

6. Beneva May 13, 2026 correspondence: ACB $62,599.93 / taxable gain $160,920.07.

7. Beneva July 3, 2026 correspondence: revised ACB $240,351.91, including premiums, NCPI and $61,084.42 interest explanation.

8. Beneva August 31, 2026 Final Position Letter and actuarial transaction history.

9. Beneva September 24, 2026 clarification and July 2023-May 2024 reconciliation table.

10. Relevant T1 returns and Notices of Assessment/Reassessment for the policyholder, especially years in which policy-loan gains or repayments occurred, to verify income inclusions and any Line 23200 / paragraph 60(s) deductions.

6. Statutory / CRA Reference Points

Income Tax Act subsection 148(9) defines ACB using a multi-component formula. Its policy-loan repayment component expressly interacts with amounts deductible under paragraph 60(s). Paragraph 60(s) permits a deduction for qualifying repayments of a policy loan, limited by prior policy-loan gains included in income less prior deductible repayments. CRA's Line 23200 guidance describes the same repayment deduction. These provisions should be applied to the policy's actual historical facts and tax filings.

7. Requested Deliverable

Please provide a transaction-by-transaction ACB reconstruction, identify any assumptions or missing source records, state the ACB immediately before the January 2025 and April 2026 surrender transactions, quantify the taxable policy gain for each relevant disposition, and identify any prior-year tax-return adjustments that should be considered. If the records are insufficient for a definitive conclusion, please identify the exact additional insurer or tax records required.

Important: This package is an organizational summary for independent professional review. It does not assert that Beneva's final calculation is incorrect and is not itself tax or legal advice.